Lecture 3 - Sustainable Business Models and Corporate Strategy

Lecturer notes, slide by slide

With activities, student questions and model answers

Deck	ASM_Lecture 3_Sustainable Business Models and Corporate Strategy_revised.pptx
Slides	30 - numbering matches the revised PowerPoint
Lecturer	Jenan Hussein
Revision	5 October 2026; content and visual approach adapted from approved Lecture 1
Teaching use	Read the summary first, then keep the slide cards beside you. Say gives the explanation; Ask and Tip support delivery.

What changed

Seven focused objectives; clearer links to business decisions; the original six-part sequence, cases and activities; corrected qualifications where benefits or rules were too absolute. Full teaching notes are also embedded in the PowerPoint.

Seminar connection

Seminar 2 (SDGs and the European Green Deal) uses the SDG slide directly. The 'pitch' activity is a rehearsal for Seminar 5, where groups build a sustainability plan for a business project.

1. The lecture at a glance

The big idea

A sustainable business model explains the value created for customers, society and nature, how it is delivered, and how the company earns revenue. GI can support a business through operating benefits, resilience and site quality, but the investment needs evidence and a maintenance plan. The second half turns these ideas into strategy, materiality, SDG contributions and credible climate plans. The public-GI debate tests when a company and city should share costs and responsibilities.

Learning outcomes

1. Compare efficient, circular and regenerative business models.
2. Explain shared value and how a company captures it.
3. Assess a GI investment using benefits, costs and risks.
4. Turn sustainability priorities into targets and responsibilities.
5. Connect SDGs and credible net-zero plans to company actions.
6. Assess partnerships between companies and cities.
7. Pitch and defend a nature-based business model.

Words to explain early

Term	Plain-language meaning
Business model	How an organisation creates, delivers and captures value.
Shared value	A strategy that creates business value while addressing a social or environmental problem.
Regenerative	An ambition to restore natural or social systems, assessed against a baseline.
Materiality	The significance of an issue for impacts on people and nature, or for the business financially.
SDGs	The United Nations Sustainable Development Goals; claims of contribution need measurable action.
Net zero	Deep emissions reductions and neutralisation of residual emissions using removals that meet the applicable standard.
Carbon neutral	A claim whose scope, reductions and use of credits must be examined; it is not automatically equivalent to a credible net-zero plan.
Free-rider problem	Someone benefits from a shared investment without helping to pay for it.

Timing plan

These are the original suggested block allocations, retained for planning. Adjust them to your actual teaching slot. Individual slide timings are approximate; do not add them to the block totals.

Block	Slides	Minutes
Welcome, objectives, agenda	1-3	8
Part 1 - What makes a business model sustainable	4-6	20
Part 2 - Shared value and regenerative business	7-9	20
Part 3 - Nature-based value creation + three cases	10-14	30
Activity: pitch a nature-based model	15	20
Break	16	15-20
Part 4 - Building a sustainability strategy	17-19	20
Part 5 - SDGs and net-zero	20-22	20
Part 6 - GI in corporate and city strategy	23-25	15
Group debate	26	25
Key messages, reading, questions	27-29	10

Before class

Look at the Business Model Canvas once (any picture online) - a student may mention it on slide 5. Decide the two debate teams in advance (slide 26) so you do not lose time. Mixed groups work better than friends together. Check the latest Prague Climate Plan 2030 web page (klima.praha.eu) so you can name one current measure on slide 25.

Use the revised deck named on this cover. Confirm the timetable, seminar deadline and assessment details with the course organiser. Distinguish classroom assumptions from observed results.

2. Slide-by-slide notes

Slide numbers and titles match the revised deck. These are suggested words and prompts, not a script to read verbatim.

01 Applied Sustainability in Business and Management (1 min)

Say: Welcome. Say that so far we looked at problems and tools; today we look at how companies actually make money with sustainability, and how they plan it.

02 Learning Objectives (3 min)

Say: Read the seven objectives. Connect each to a decision a manager needs to make. The first half introduces the tools and business problem; the second half applies them to the cases and activities. Students will use the same tools for their Prague semester site.

03 Today's Lecture Agenda (2 min)

Say: Six parts, a pitch activity before the break, a debate at the end.

04 Part 1 - What Makes a Business Model Sustainable? (1 min)

Say: Announce the part.

05 Business Models, Revisited (6 min)

Say: A business model answers three questions: what value do we create and for whom, how do we deliver it, and how do we keep part of it as revenue. Use a simple example - a café: value is good coffee and a place to sit, delivered in a shop, paid per cup. The sustainable version adds two questions: what value do we create or destroy for society and nature, and who is affected but does not pay - for example the neighbours who get the noise and the waste.

Ask: For a café: who is affected by the business but never pays it anything?

06 Types of Sustainable Business Models (8 min)

Say: Three types, from easy to ambitious. Efficiency-based: do the same with less - a logistics company that plans routes to save fuel. Circular: product as a service, take- back, leasing - a company that rents washing machines and repairs them. Regenerative: leave things better than you found them - regenerative farming that builds soil. Most companies start with efficiency; the course argues for moving right.

07 Part 2 - Shared Value and Regenerative Business (1 min)

Say: Announce the part.

08 Creating Shared Value (Porter & Kramer, 2011) (7 min)

Say: This is a classic Harvard Business Review article; students should remember the names. The idea: a company can earn money by solving a social or environmental problem - not as charity on the side, but as the core strategy. Three routes: new products for unmet needs; a more productive value chain (less waste, healthier workers); and building strong local 'clusters' - suppliers, skills, and a healthy local environment. Ask the question on the slide.

Ask: Is a city park part of a company's cluster? Guide them to: yes, if it makes the location attractive for workers and customers.

09 Sustainable and Regenerative Business (4 min)

Say: Reducing harm and restoring damaged systems are different ambitions. A planted site only supports a regenerative claim when its condition improves against a baseline and that improvement lasts. Include water demand, species choice, survival and maintenance. A company should measure the outcome rather than assume all greenery is regenerative.

10 Part 3 - Nature-Based Value Creation (1 min)

Say: Announce the part: now the money.

11 How Organizations Capture Value from GI (7 min)

Say: These are possible sources of value, not guaranteed returns. A building owner needs a baseline, installation and maintenance costs, and evidence for the benefits it expects to capture. Fee reductions depend on local tariffs. Insurance savings, rent premiums and faster approvals need specific evidence.

Ask: Which benefit goes to the company, and which goes to neighbours or the city?

Source references: see the source list at the end of this guide.

12 Case Study: Bosco Verticale, Milan (5 min)

Say: The architect describes Bosco Verticale as two planted residential towers with around 800 trees and thousands of shrubs and plants. The business lesson is differentiation through building design. Do not infer a rental premium from the photograph or identity alone. A Prague proposal still needs structural checks, irrigation, maintenance costs and evidence of tenant demand.

Source references: see the source list at the end of this guide.

13 Case Study: Microsoft and Nature on Site (4 min)

Say: Use Microsoft as a company-reported strategy example. Its 2025 environmental report restated the carbon-negative 2030 ambition and the need to reduce value-chain emissions. Nature on a campus can be part of the workplace and site strategy, but it does not prove a whole-company outcome or a quantified productivity gain.

Ask: What evidence would you request before repeating a company benefit claim?

Source references: see the source list at the end of this guide.

14 Case Study: Singapore Green Buildings (4 min)

Say: Retain Parkroyal as the visual case. Ask how its landscape affects customer experience and operating costs. Singapore has planning and green-building frameworks, but requirements depend on the development. Do not claim that all new buildings face the same landscape obligation or that a price premium is guaranteed.

15 Classroom Activity: Pitch a Nature-Based Model (20 min)

Say: Groups design a business for Prague that earns money from Green Infrastructure and pitch it: value proposition, customer, revenue stream, and the ecosystem service behind it. Details in section 3.

16 Break (15-20 min)

Say: After the break: from single business models to whole-company strategy, then the debate.

17 Part 4 - Building a Sustainability Strategy (1 min)

Say: Announce the part.

18 From Ambition to Strategy (6 min)

Say: A strategy pyramid with five levels. Purpose: why sustainability matters to this company. Materiality: which issues matter most. Targets: measurable and with a date. Programmes: the projects that deliver the targets. Governance: who is responsible and how progress is reported. Say that many companies have a purpose statement and nothing below it - that is the gap.

19 Materiality: Priorities for a Business (6 min)

Say: A simple ranking can help strategy, but a top-right-only grid is not an adequate double-materiality test. An issue may be significant because of the company's impact, its financial effects, or both. For a developer, check buildings, land, people and supply chains. Treat office paper as a possible lower priority, not automatically immaterial.

Ask: Could a serious habitat impact matter even before it affects the company's profits?

Source references: see the source list at the end of this guide.

20 Part 5 - SDGs and Net-Zero Commitments (1 min)

Say: Announce the part.

21 Integrating the SDGs (6 min)

Say: The 17 UN goals. The most relevant for this course: 11 sustainable cities, 13 climate action, 15 life on land, plus 6 clean water and 3 health. Companies map their activities to goals, set indicators and report. Warn about 'SDG-washing' - putting colourful SDG icons in a report without any measurable action behind them. Seminar 2 goes deeper into the SDGs and the Green Deal.

22 Net-Zero Plans (6 min)

Say: A net-zero plan needs a clear boundary, credible reduction targets and evidence of delivery. Residual emissions require eligible removals under the relevant standard; buying arbitrary offsets or planting trees is not enough. Storage duration, reversals and double counting matter. Urban GI can help adaptation and biodiversity without qualifying as neutralization.

Ask: Can a company plant its way to net zero? No. First reduce emissions, then meet the applicable requirements for the remaining emissions.

Source references: see the source list at the end of this guide.

23 Part 6 - GI in Corporate and City Strategy (1 min)

Say: Announce the part.

24 Where GI Enters Corporate Plans (5 min)

Say: GI appears in facility operations, adaptation planning and people or community programmes. Give each action an owner, budget and measure of success. Keep climate adaptation and biodiversity benefits distinct from any carbon-removal claim, which requires separate accounting.

25 Municipal Strategies: Prague and Vienna (5 min)

Say: Prague has a Climate Plan 2030 (emissions, energy, mobility, adaptation) and an Adaptation Strategy (trees, water, permeable surfaces). Vienna's Danube Island in the photo was built as flood protection and became the city's favourite park. For business the message is: city strategies show where public money and partnership opportunities will go in the next years.

26 Group Debate (25 min)

Say: Two teams. Motion: 'Should businesses invest directly in public green infrastructure?' Team A argues yes (resilience, talent, brand, shared value). Team B argues no (free-rider problem, focus on core business, it is the public sector's job). Ten minutes to prepare, then a structured debate. Finish by finding the conditions where both sides agree. Details in section 3.

27 Key Messages (4 min)

Say: Work through the eight messages. Ask students to connect each to a decision, example or tool from this lecture. Distinguish potential benefits from measured results.

28 Recommended Reading (2 min)

Say: Porter and Kramer 2011 is the one to read - it is short. Next lecture: measuring sustainability - KPIs and life cycle assessment.

29 Any questions? (5 min)

Say: Take questions.

30 Image credits - Say: No need to show.

3. How to run the class activities

Pitch a Nature-Based Business Model (slide 15, 20 minutes)

1. Groups of three or four. Each picks one idea from the slide (green roof service, biodiversity consulting, urban farming subscription) or their own.

2. 12 minutes: write four lines - value proposition (what do we offer, to whom), customer (who pays), revenue stream (how they pay), and the ecosystem service behind it (what nature does that makes this valuable).

3. 8 minutes: 90-second pitches. The rest of the room plays investors and asks one question each.

4. Close by asking: which pitches were efficiency, circular or regenerative models (slide 6)?

Watch for: Weak pitches say 'people will pay because it is green'. Push for a concrete customer with a concrete problem: a building owner with high cooling bills, a developer who needs to meet a defined planning requirement.

Group Debate - Should businesses invest directly in public green infrastructure? (slide 26, 25 minutes)

1. Split the room into Team A (yes) and Team B (no). Assign sides - do not let students choose; arguing the side you disagree with is the point.

2. 10 minutes preparation. Each team writes three arguments and guesses the other team's best argument.

3. Debate: A opens (2 min), B opens (2 min), A responds (2 min), B responds (2 min), free exchange (4 min). You moderate and keep time strictly.

4. 3 minutes: ask both teams under which conditions they would agree. Typical answers: when the company's own site benefits, when the city co-funds, when there is a clear measure of the benefit, when it is written into planning permission.

Watch for: Team B often runs out of arguments. Feed them: free-rider problem, shareholders may object, businesses should not decide what public space looks like, the city might reduce its own spending.

Business decision prompt

For each proposal, ask students to name the payer, operating owner, affected stakeholders and one measurable outcome. Use assumptions openly when data is unavailable.

4. If a student asks

Isn't shared value just CSR with a new name?

Shared value puts a social or environmental problem inside the value-creation strategy. CSR is broader and can also shape core operations, so it should not be reduced to charitable spending alone.

What is the difference between net zero and carbon neutral?

The meaning depends on the claim and standard. Examine the boundary, emissions reductions and credit use. A credible net-zero plan requires deep reductions and eligible neutralisation of residual emissions; a carbon-neutral label alone does not establish that.

How do I know if an issue is material?

Examine the organisation’s significant impacts on people and nature, and the financial risks or opportunities it faces. Either dimension can matter. Record the evidence and reasoning rather than only selecting issues high on both axes.

Can a small company use the SDGs?

Yes. A small company can select goals related to its actual impacts and measure its contribution. Showing many SDG icons is not evidence of results.

5. Questions with model answers

Use these for discussion, homework or test preparation. Model answers are short examples; other well-supported answers can also be valid.

1. What three questions does a normal business model answer, and what two questions does a sustainable business model add?

Recall

Model answer: Normal: what value do we create and for whom; how do we deliver it; how do we capture part of it as revenue. Sustainable adds: what value do we create or destroy for society and nature; who are the non-paying stakeholders affected by our model.

2. Describe the three types of sustainable business models and give a real or invented example of each.

Understand

Model answer: Efficiency-based: do more with less (a delivery company optimising routes). Circular: product-as-a-service, take-back, remanufacturing (leasing office furniture and refurbishing it). Regenerative: leave systems better than found (regenerative agriculture that rebuilds soil).

3. Explain 'creating shared value' (Porter and Kramer) and name the three routes to it.

Recall

Model answer: Companies can create economic value in ways that also create value for society, as strategy rather than philanthropy. Routes: reconceive products and markets; redefine productivity in the value chain; build supportive local clusters, including a healthy local environment.

4. Give four ways a company can capture value from Green Infrastructure.

Recall

Model answer: Possible benefits include operating savings, reduced disruption, improved workplace experience and tenant appeal. Compare those benefits with installation and maintenance costs. Lower insurance, faster approvals and higher rents require site-specific evidence rather than assumption.

5. What business lesson does Bosco Verticale teach? Would the same idea work for an office building in Prague?

Apply

Model answer: The planting is a distinctive part of the building identity. A Prague office proposal needs evidence of customer demand and a viable business case, alongside structural, climate, irrigation and maintenance checks. A design reputation alone does not prove a rent premium.

6. List the five levels of the sustainability strategy pyramid and say why a company with only a 'purpose' has no strategy.

Understand

Model answer: Purpose, materiality, targets, programmes, governance. Purpose alone is a wish; without targets, programmes and someone accountable, nothing is delivered or measured.

7. Do a simple materiality ranking for a brewery: name two highly material issues and one issue that is not material. Explain.

Apply

Model answer: Water use, energy and packaging can be priorities for a brewery because of its operations and impacts. Office paper may be lower priority at that scale, but document the reason. An issue can be significant for impacts, financial effects, or both; stakeholder interest alone is not a complete test.

8. What is 'SDG-washing' and how can a company avoid it?

Understand

Model answer: Claiming to contribute to SDGs (often by showing the icons) without measurable action. Avoid it by choosing the few goals where the company really has impact, setting indicators and reporting progress.

9. What does a credible net-zero plan contain? Why can a company not simply plant trees to reach net zero?

Understand

Model answer: A credible plan defines scope and targets, delivers deep emissions reductions and addresses residual emissions with eligible removals under the applicable standard. Tree planting has limits including storage durability and reversal risk, so it cannot replace emissions cuts or automatically establish neutralisation.

10. Give two arguments for and two arguments against businesses investing directly in public green infrastructure, and one condition under which both sides could agree.

Apply

Model answer: For: resilience of the company's own site; attracting talent and customers; brand; shared value. Against: free-rider problem; focus on core business; it is the public sector's job; shareholders may object. Condition: co-funding with the city, a measurable benefit to the company's site, or a requirement in planning permission.

Handout version: questions only

1. What three questions does a normal business model answer, and what two questions does a sustainable business model add?

2. Describe the three types of sustainable business models and give a real or invented example of each.

3. Explain 'creating shared value' (Porter and Kramer) and name the three routes to it.

4. Give four ways a company can capture value from Green Infrastructure.

5. What business lesson does Bosco Verticale teach? Would the same idea work for an office building in Prague?

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Source list for revised passages

Checked 5 October 2026. These sources support the revised passages; the original recommended reading and image credits remain in the deck. Company material is identified as company-reported evidence.

1. www.epa.gov - slides 11

https://www.epa.gov/green-infrastructure/economic-benefits-green-infrastructure

2. www.epa.gov - slides 11

https://www.epa.gov/heatislands/using-green-roofs-reduce-heat-islands

3. www.stefanoboeriarchitetti.net - slides 12

https://www.stefanoboeriarchitetti.net/en/project/vertical-forest/

4. blogs.microsoft.com - slides 13

https://blogs.microsoft.com/on-the-issues/2025/05/29/environmental-sustainability-report/

5. knowledgehub.efrag.org - slides 19

https://knowledgehub.efrag.org/eng/interactive/ig/ig1/09-2025/75

6. files.sciencebasedtargets.org - slides 22

https://files.sciencebasedtargets.org/production/files/Corporate-Net-Zero-Standard-version-2.pdf